

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken— to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DEED

Date: 5/12/2026

Bill Number: SB 146

Short Title (as it appears on BASIS): REAA Fund: Mt. Edgecumbe, Teacher Housing

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

SB146 authorizes the department to provide grant funding from the Regional Educational Attendance Area (REAA) Fund and the Small Municipal District School Fund to Mt. Edgecumbe High School (MEHS) for school construction and major maintenance projects. While the intent of expanding facility funding access is understood, the department has identified significant implementation challenges under the bill as drafted. MEHS does not currently have the statutory structure, eligibility framework, or administrative capacity required to participate in the existing Capital Improvement Project (CIP) process. Further, under current law, MEHS does not qualify for allocations from the Major Maintenance Fund (Fund 1193) or the School Construction Fund (Fund 1080). SB146 creates a new funding pathway for MEHS but does not establish a methodology for determining how REAA or Small Municipal District funds would be allocated. Without a defined mechanism—such as an allocation formula, a set-aside percentage, or integration into an established prioritization process, the department lacks the guidance necessary to administer the funds in a consistent, equitable, and sustainable manner.

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Given these unresolved administrative and statutory questions, the department cannot implement the bill as written without additional direction from the Legislature. However, the bill does not pose operational barriers significant enough to warrant a veto. Allowing SB146 to become law without a signature acknowledges the Legislature’s intent while signaling the need for future statutory clarification to ensure the responsible administration of REAA and Small Municipal District funds.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

SB146 expands the allowable use of the REAA and Small Municipal School District School Fund. Specifically, the bill authorizes the department to use REAA funds for construction and major maintenance projects at MEHS.

Additionally, the bill removes the existing \$70 million cap on the unobligated and unexpended cash balance of the REAA fund.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Amends [AS 14.11.025](#) *State aid for school construction in regional educational attendance areas and small municipal school districts*, subsection (a) to add new categories of eligible projects to be funded by the REAA fund: 1) provide funding to REAA or small municipal school district 2) school construction and major maintenance projects at MEHS and 3) major maintenance projects for teacher housing for state-owned housing, and housing owned by or located in REAAs and small municipal school districts (identified as “school districts”).

Section 2: Amends [AS 14.11.030](#) *Construction of chapter*, subsection (a) to conform the approved project categories the fund can be used the changes in [AS 14.11.025](#) *State aid for school construction in regional educational attendance areas, in small municipal school districts and at Mt. Edgecumbe High School and for major maintenance projects for teacher housing described in AS 14.11.025(a)(3)*, subsection (a).

Section 3: Amends [AS 14.11.030](#) *Regional education attendance area and small municipal school district fund*, subsection (b) to remove the \$70 million cap on the fund balance.

Companion or Similar Bills

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Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

HB174

Support/Opposition of the Bill

Please identify names, organizations, titles, and phone numbers of those who testified in support or in opposition of this bill.

Support

Ross Goble, Board Member, Junior Achievement Alaska

Tim Sullivan, Executive Director, Financial Reality Foundation

Lauren MacVay, President and CEO, True North Federal Credit Union

Katie Capozzi, President and Chief Executive Officer, Alaska Chamber of Commerce, Anchorage

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Click or tap here to enter text.

Commissioner’s Signature: _____



Date: **5/18/2026**

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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